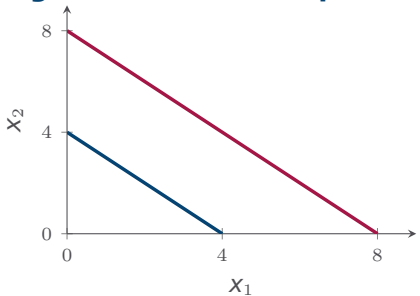
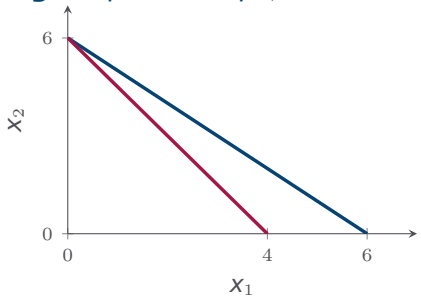
Budget geometry: income versus a price change

Higher income, fixed prices



Higher p_1, fixed p_2, m



The feasible set expands in the first case and shrinks in the second. Neither change is itself a change in preferences.